BGIN Block #9 Meeting Report

- Rebuilding Value, Governance and Reputation on Blockchain -

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network

The Global Network for Blockchain Stakeholders™

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3.8. DTWG Interactive Workshop Session 2: Transparency of DApps and Sound DeFi

Date: Nov 20, 2023
Time: 13:30 - 15:00
Session Chair: Joseph Beverley (Soulbis, Local Chair)

1. Discussion points

- There is research that analyzes different DeFi protocols, finding that there are centralized elements in them. Some of them could fall into the definition of centralized entity in existing regulations and might be able to apply the same ones to them. Discussion on what requirements we should regulate and what we should not is a great start.

    - Considering who should be regulated, it comes down to the fundamental question of what are DeFi protocols. Is it seen as just a bunch of code that runs itself, or is it a different kind of exchange that is developed by a small group of responsible engineers?

    - Regulators should not regulate software or protocol itself but can identify entities that are responsible for them and regulate them. To identify them, regulators need to look at various kinds of potentially responsible entities.

    - We have never seen a case of anyone who has created a DeFi protocol that has been railroaded and then walked away. They don't walk away after all, they decide on the stations and when the trains will run in order to make money on the backend. (On the other hand, one could argue that although centralized, they are in a position of control by multiple entities rather than 100% centralization and are moving toward long-term decentralization.)

    - If custodial service providers are subject to the rigorous regulatory regime, it means we can control the access layer then we may be able to achieve some regulatory outcomes without regulating protocols themselves.

- Privacy Pool Discussion

    - We are on a (blockchain) system where law enforcement and regulatory authorities want to know ‘who’ if there is something suspicious, and many of the protocols do not incorporate anything effective that helps law

enforcement and authorities judge things. Each protocol should begin by explaining what preventative measures are in place to ensure that they are preventing ML/FT. Starting with basic standards would give the industry a great deal of credibility.

- Even though it is public and open, blockchain data is transaction-based, and when it comes to identifying who it is, in fact, even Chainanalysis can only map less than 50%. Even though all the data on the blockchain is open and transparent, it is not personally identifiable information.

2. Next Steps

- Another paper could be on the topic of how to achieve the mitigation of terrorism financing and proliferation of innovation.
- Having something to easily explain what privacy-enhancing tools are, we can do a better job as an industry by discussing how this privacy pool paper is accepted by regulators and what kind of industry-leading self-regulations can be feasible. And what technologies can be technically implemented in these protocols?